

DETAILED PROJECT REPORT

On
Establishment of

SRI LAKSHMI READYMADE GARMENTS

under 'AP CMEP'

District Guntur
Location D.No. 12-4-18, Brodipet, Guntur
Entrepreneur name Smt. Anitha Reddy

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1 Cover & eligibility

Particular	Details
Unit / Project Name	Sri Lakshmi Readymade Garments
District	Guntur
Location	D.No. 12-4-18, Brodipet, Guntur
Nature of Business	Readymade cotton garment manufacturing
Major Products	Cotton shirts, cotton kurtas, school uniforms
Activity band	Manufacturing
Booster category	Woman entrepreneur
AP domicile	Yes
Entrepreneur name	Smt. Anitha Reddy
Urban or rural	Urban
EDP training	EDP completed
Earlier government subsidy	No
Only one person in the family for this scheme	Yes

2 Executive summary & process

Particular	Details
Sector / industry type	Textiles — readymade garments

Short intro — what the unit does

The unit will stitch purchased cotton fabric into shirts, kurtas and school uniforms for retailers and school suppliers in Guntur district. It is a small new manufacturing workshop, not a trading counter and not a spinning or dyeing mill.

Executive summary

Sri Lakshmi Readymade Garments is a proposed new manufacturing unit at Brodipet, Guntur, for cotton shirts, kurtas and school uniforms. Smt. Anitha Reddy, a Guntur resident with six years in garment retail, will run the unit as a proprietorship. The project cost is ₹42.20 lakh, of which the promoter brings ₹6.30 lakh and Union Bank of India is proposed for a term loan of ₹35.90 lakh at 11% for 84 months with a 6-month moratorium. Twelve industrial sewing machines, a cutting section and steam finishing will produce about 80 pieces a day on one shift for 300 days. Year-1 utilisation is 55% and rises to 90% by 2031-32. The unit is urban, the promoter is a woman, EDP is complete, and no family member has taken this subsidy before. Buyers are school suppliers, local retailers and two wholesale traders in Guntur and Vijayawada.

Process of manufacture

Fabric is received in lots, checked for width, shade and defects, and stored on racks. Markers are laid on the cutting table and panels are cut, bundled and ticketed by size and style. Bundles move to single-needle machines for assembly, then to overlock and button-hole machines. Each bundle is inspected for seam strength, measurement and loose thread. Garments are steam-pressed, folded, size-labelled and packed in dozens. School-uniform lots are packed against the buyer's size ratio. Rejects are recut or sold as seconds. Dyeing and spinning are not part of this unit. Water is used only for steam irons and housekeeping.

3 Location

Brief location / market catchment

The workshop is on a commercial lane in Brodipet, Guntur, about 2 km from Guntur railway station and on the city bus route toward Vijayawada. Fabric merchants in Patnam Bazar and buyers in Guntur and Vijayawada are within a short road trip. Power and municipal water are available on the street.

4 Unit profile & capacity

Present / proposed activity summary

The unit is not yet in production. The promoter currently helps in a family cloth shop and will shift to full-time supervision once the machines are installed. Commercial stitching is proposed to start in November 2026.

Particular	Details
Start / commencement	Proposed commencement November 2026
Tools / process level	Industrial single-needle, overlock and button machines with manual cutting
Capacity / throughput	80 garments per day at full capacity

Product	Share of output (%)	Selling price (₹)
Cotton shirts	40	450
Cotton kurtas	35	650
School uniforms	25	380

Particular	Details
Number of looms / machines	12
Shifts per day	1

5 Market & offtake

Target customers / market

School-uniform suppliers, neighbourhood garment retailers in Guntur, and two wholesale traders who supply Vijayawada. No export is proposed in the first three years.

Demand / footfall note

Local school suppliers place two bulk orders a year, before June and December. Retailers take weekly lots of shirts and kurtas. The promoter already has enquiry letters from two uniform contractors and one Brodipet retailer.

6 Premises & utilities

Particular	Details
Shop / shed / workplace name	Sri Lakshmi Readymade Garments workshop

Premises note (own / lease / rent)

Leased first-floor workshop. Five-year lease with a two-year lock-in. Landlord: K. Srinivasa Rao, Brodipet, Guntur.

Particular	Details
Workshop area (sq.ft.)	1800
Production floor (sq.ft.)	1200
Storage / packing area (sq.ft.)	350
Office area (sq.ft.)	250
Lease period (years)	5

Water use and dye wastewater

About 200 litres a day for steam irons, drinking and floor washing. No dyeing and no process effluent. Domestic wastewater goes to the municipal drain.

7 Applicant / firm

Particular	Details
Firm / proprietor name	Sri Lakshmi Readymade Garments
Legal status	Proprietorship
Correspondence address	D.No. 4-12-7, Arundelpet, Guntur, Andhra Pradesh

Name	Relation	Age	Education	Experience (years)	Phone	Address
Smt. Anitha Reddy	W/o K. Ramesh Reddy	34	B.Com., Acharya Nagarjuna University	6	9848012345	D.No. 4-12-7, Arundelpet, Guntur

8 Upgrade project cost

Particular	Details
Land (₹ Lakhs)	0
Building / shed (₹ Lakhs)	4.5
Utilities & Infrastructure (₹ Lakhs)	1.4
Preliminary & Pre-operative (₹ Lakhs)	1.2
Machinery / equipment (₹ Lakhs)	18.4
Working capital (₹ Lakhs)	13.1

Particulars	Already incurred	To be incurred	Total
Land	0	0	0
Building / shed	0	4.5	4.5
Machinery / equipment	0	18.4	18.4
Furniture and fixtures	0	1.6	1.6
Security deposits	0	2	2
Working capital	0	13.1	13.1

Description	New / used	Supplier	Qty	Unit cost (₹ Lakhs)	GST	Transport	Installation	Life (years)	Yearly maintenance
Single-needle lockstitch machines	new	Juki dealer, Vijayawada	8	0.42	0.08	0.02	0.01	10	0.04
Overlock machines	new	Juki dealer, Vijayawada	2	0.65	0.12	0.02	0.02	10	0.05
Button-hole and button-stitch set	new	Jack Machines, Guntur	1	0.85	0.15	0.02	0.03	10	0.04
Cutting table with straight knife	new	Local fabricator, Guntur	1	0.55	0.1	0.02	0.02	12	0.02
Steam irons and vacuum table	new	Naomoto stockist, Hyderabad	2	0.35	0.06	0.02	0.02	8	0.03
Generator 15 kVA	new	Kirloskar dealer, Guntur	1	2.4	0.43	0.05	0.08	15	0.12

Particular	Details
Furniture and fixtures (₹ Lakhs)	1.6
Security deposits (₹ Lakhs)	2
Raw material stock (₹ Lakhs)	6.5
Work in progress (₹ Lakhs)	1.8
Finished goods (₹ Lakhs)	3.2
Receivables (₹ Lakhs)	4
Supplier credit (₹ Lakhs)	3.2
Cash (₹ Lakhs)	0.8

9 Means of finance (critical)

Particular	Details
Own / promoter contribution (₹ Lakhs)	6.3
Government Grant (₹ Lakhs)	0
Bank Loan (₹ Lakhs)	35.9
Other Sources (₹ Lakhs)	0
Cash credit / working capital limit (₹ Lakhs)	8
Bank name	Union Bank of India, Brodipet branch, Guntur
Interest rate (% per year)	11
Moratorium (months)	6
Loan tenure (months)	84
Subsidy rate (%)	25

10 Operating cost & sales

Particular	Details
Raw Material Cost (₹ Lakhs)	27.8
Power Cost (₹ Lakhs)	1.8
Wages (₹ Lakhs)	14.4
Maintenance (₹ Lakhs)	1.2
Administrative Expenses (₹ Lakhs)	2.4
Marketing Expenses (₹ Lakhs)	0.6
Annual Production Volume	13200
Annual Sales Realization (₹ Lakhs)	66.3

Material	Use	How it is bought
Cotton shirting and suiting	Shirts and uniforms	Weekly lots from Patnam Bazar merchants
Kurta cotton and lining	Kurtas	Fortnightly purchase against confirmed orders
Thread, buttons, labels, packing	Stitching and packing	Monthly consumable stock

Role	Number of people	Monthly pay (₹)
Production supervisor	1	22000
Tailors	10	12000
Helpers and pressers	4	9000
Accounts and dispatch	1	15000

Particular	Details
Installed capacity per day	80
Working days in a year	300
Capacity utilisation (%)	55
Selling price per unit (₹)	502
Rent per month (₹)	30000
Salaries per month (₹)	68000
Power per month (₹)	15000
Annual expense increase (%)	5

Year	Capacity utilisation (%)
2026-2027	55
2027-2028	65
2028-2029	75
2029-2030	80
2030-2031	85

Year	Capacity utilisation (%)
2031-2032	90
2032-2033	90
2033-2034	90

11 Financial projections (actuals and estimates)

Sales and operating costs (₹ Lakhs)								
Year	Sales	Raw material	Wages	Power	Salaries	Rent	Maintenance	Admin
2023-2024	0	0	0	0	0	0	0	0
2024-2025	0	0	0	0	0	0	0	0
2025-2026	0	0	0	0	0	0	0	0
2026-2027	66.3	27.8	14.4	1.8	8.2	3.6	1.2	2.4
2027-2028	78.4	32.1	15.8	2	8.6	3.8	1.3	2.5
2028-2029	90.5	36.2	17.2	2.2	9	4	1.4	2.6
2029-2030	96.5	38.2	18	2.3	9.4	4.2	1.5	2.7
2030-2031	102.6	40.2	18.8	2.4	9.8	4.4	1.6	2.8
2031-2032	108.6	42.2	19.6	2.5	10.2	4.6	1.7	2.9
2032-2033	108.6	42.2	19.6	2.5	10.6	4.8	1.8	3
2033-2034	108.6	42.2	19.6	2.5	11	5	1.8	3.1

Interest, depreciation and profit (₹ Lakhs)				
Year	Interest	Depreciation	Tax	Net profit
2023-2024	0	0	0	0
2024-2025	0	0	0	0
2025-2026	0	0	0	0
2026-2027	3.4	2.6	0.2	0.7
2027-2028	3	2.3	1.4	5.6
2028-2029	2.6	2	2.7	10.6
2029-2030	2.2	1.8	3.2	13
2030-2031	1.8	1.6	3.8	15.4
2031-2032	1.4	1.4	4.4	17.7
2032-2033	1	1.2	4.4	17.5
2033-2034	0.6	1.1	4.3	17.4

Particular	Details
Break-even (capacity %)	42

Repayment, break-even and DSCR	
Particular	Details
Term loan (₹ Lakhs)	35.90
Interest rate (% per year)	11
Moratorium (months)	6
Loan tenure (months)	84
Indicative EMI (₹ Lakhs)	0.65
Break-even sales (₹ Lakhs)	63.62
Break-even capacity (%)	95.96

Particular	Details
Average DSCR	2.06

DSCR by year (₹ Lakhs)			
Year	Cash profit	Repayment	DSCR
2026-2027	6.70	7.76	0.86
2027-2028	10.90	7.76	1.41
2028-2029	15.20	7.76	1.96
2029-2030	17	7.76	2.19
2030-2031	18.80	7.76	2.42
2031-2032	20.50	7.76	2.64
2032-2033	19.70	7.76	2.54
2033-2034	19.10	7.76	2.46

Machinery — depreciation 15%				
Year	Opening	Additions	Depreciation	Closing
2026-2027	—	18.40	2.76	15.64
2027-2028	15.64	—	2.35	13.29
2028-2029	13.29	—	1.99	11.30
2029-2030	11.30	—	1.70	9.60
2030-2031	9.60	—	1.44	8.16
2031-2032	8.16	—	1.22	6.94
2032-2033	6.94	—	1.04	5.90
2033-2034	5.90	—	0.89	5.01

Building — depreciation 10%				
Year	Opening	Additions	Depreciation	Closing
2026-2027	—	4.50	0.45	4.05
2027-2028	4.05	—	0.41	3.64
2028-2029	3.64	—	0.36	3.28
2029-2030	3.28	—	0.33	2.95
2030-2031	2.95	—	0.30	2.65
2031-2032	2.65	—	0.27	2.38
2032-2033	2.38	—	0.24	2.14
2033-2034	2.14	—	0.21	1.93

Furniture and fixtures — depreciation 10%				
Year	Opening	Additions	Depreciation	Closing
2026-2027	—	1.60	0.16	1.44
2027-2028	1.44	—	0.14	1.30
2028-2029	1.30	—	0.13	1.17
2029-2030	1.17	—	0.12	1.05
2030-2031	1.05	—	0.11	0.94
2031-2032	0.94	—	0.09	0.85
2032-2033	0.85	—	0.09	0.76

Year	Opening	Additions	Depreciation	Closing
2033-2034	0.76	–	0.08	0.68

12 Implementation schedule

Particular	Details
Commercial production date (CoD)	2026-11-01

Activity	Time	Start	End
Loan appraisal and lease registration	30 days	2026-07-01	2026-07-31
Workshop flooring, electrical work and machine order	45 days	2026-08-01	2026-09-15
Installation, trial stitching and staff joining	30 days	2026-09-16	2026-10-15
First school-uniform and retail lots	15 days	2026-10-16	2026-11-01

Risk	How it will be handled
Cotton fabric price rise	Buy against confirmed orders and keep two merchants.
Tailors leaving before the school season	Keep a standby list of four tailors and pay piece-rate on urgent lots.
Slow payment from uniform contractors	Cap credit at 30 days and take an advance on bulk orders.
Machine downtime in peak months	Annual service contract and a spare single-needle machine.

13 Documents & uploads

Particular	Details
Udyam Certificate	Uploaded
Machinery / Equipment Quotations	Uploaded
AP Domicile Proof	Uploaded
Bank Passbook	Uploaded
Education certificate	Uploaded
EDP certificate	Uploaded
Lease deed / premises proof	Uploaded
Yarn, dye and packing rate sheets	Uploaded
Dealer enquiries or purchase orders	Uploaded